

The First-Year Drop-Off: Understanding Teco's Churn Risk

"A data-driven investigation into why Teco's new customers leave — and how to keep them longer."

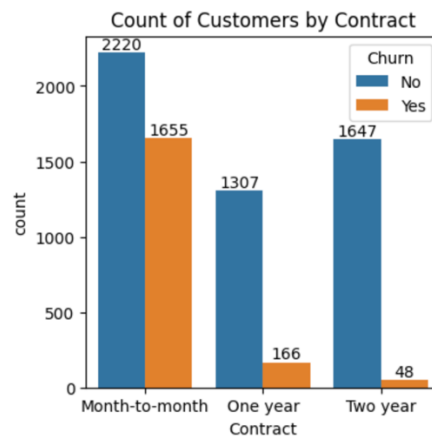
Objective

To identify key factors influencing customer churn, focusing on contract type, payment method, and tenure.

Key Insights

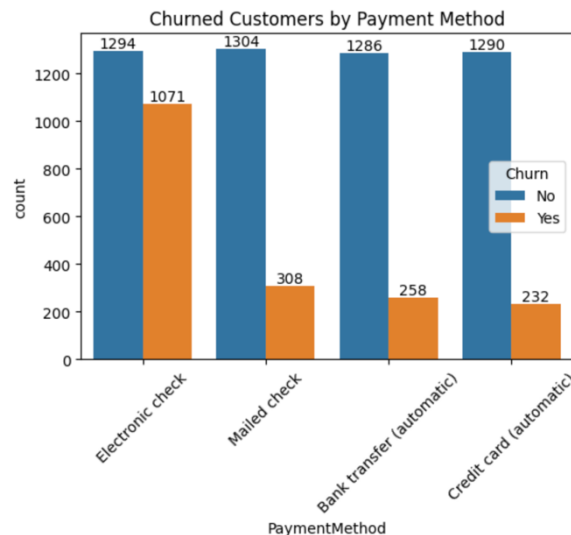
• Contract Type

Customers on month-to-month contracts churn at **42%**, compared to **11%** for one-year and **3%** for two-year contracts. —————> *Longer commitments improve retention.*



• Payment Method

Electronic check users have a **45%** churn rate, versus **15–18%** for other methods (credit card, bank transfer, mailed checks). —————> *Encourage secure, reliable payment alternatives.*

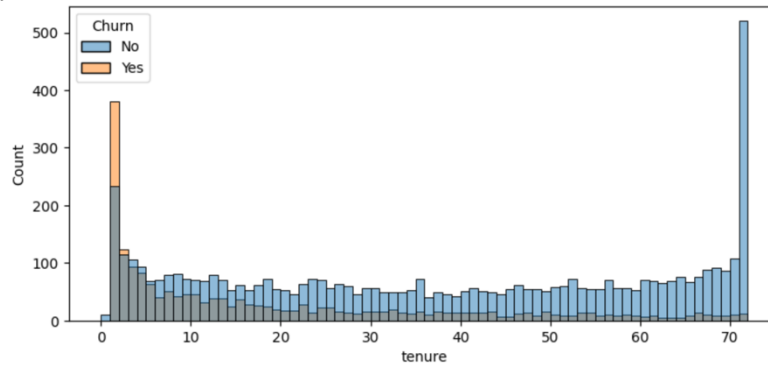


• Churn by Tenure

Churn is highest (**50%**) in the **first year**, dropping to **15%** after three years.



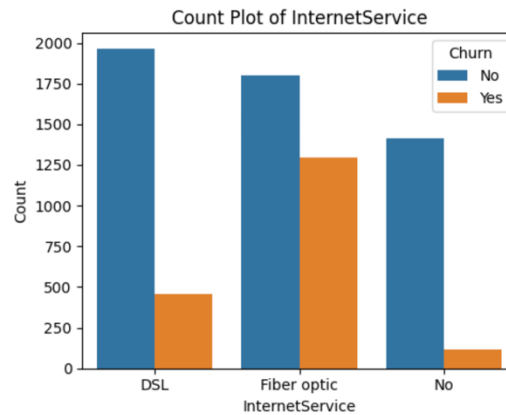
Early engagement is key.



Demographic Factors

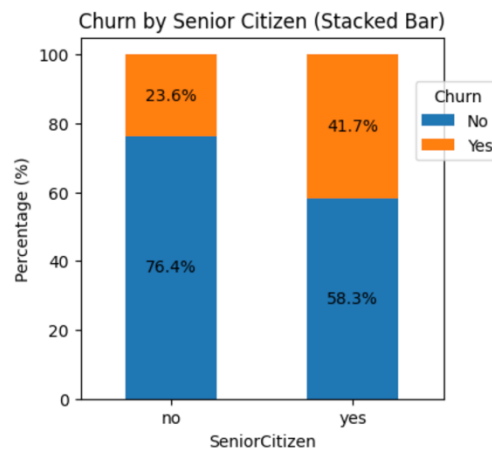
• Internet Service Type

Fiber Optic customers churn at 30%, compared to 20% for DSL. ———→ *May reflect service dissatisfaction or stronger competition.*



• Senior Citizens

41% churn among customers aged 65+, compared to 26% for others. ———→ *Targeted support may improve retention.*



Recommendations

- Promote long-term contract incentives
 - Encourage payment method upgrades from electronic checks
 - Boost onboarding and support during the first year
 - Explore retention strategies for senior citizens and fiber optic users
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Tools Used

Python (pandas, seaborn, matplotlib), Jupyter Notebook